

KOREA 2007

1. Overview of the system

Unemployed persons are covered by an unemployment insurance to which employers and employees contribute. As a last-resort benefit, social assistance is also provided under the National Basic Livelihood Security (NBLS) System which guarantees basic livelihood and supports self-reliance for all those with incomes below the minimum cost of living, the official poverty line, regardless of their working ability.

All net incomes, replacement rates and other figures in this report are based on the Korean tax and benefit system in effect as of January 2007.

1.1. *Average worker wage (AW)*

The national currency is the Won (KRW). In 2007, the average worker (broadened new definition) is expected to earn KRW 32 233 620¹.

1. AW refers to the Average Worker estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

2. Unemployment insurance

There are two kinds of unemployment benefits. Only the Job-Seeking Allowance is contemplated in the calculations used in this study:

- *Job- Seeking Allowance*: provides cash payments to maintain the worker's standard of living and to facilitate their re-employment.
- Employment Promotion Allowance, split into:
 - Early Re-employment Allowance aims to facilitate the recipients' re-entry into a job, for those who get a steady² job earlier than halfway the given benefit duration; it amounts to a half of the residual days of Basic Allowance.
 - Job Abilities Development Allowance is paid to those who take training from vocational training institutes under the direction of the local labour offices.
 - Wide-area Jobseeking Allowance is paid to those who are seeking jobs 50 km away from their residence referred by the Employment Security Office.
 - Moving expenses are paid to those who move to another place to take jobs or training mandated by the Employment Security Office.

2.1 Conditions for receipt

Voluntarily unemployed people are disqualified.

2.1.1 Employment conditions

See the contribution conditions (section 2.1.2).

2.1.2 Contribution conditions

Having worked at least *180 days or more* in the 18-month period preceding unemployment.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The daily basic allowance is 50 per cent of the daily wage. The daily wage is the amount calculated by dividing the wage paid in the last three months preceding unemployment by the total number of working days of the same three-month period. The minimum benefit is 90 per cent of the minimum

² Jobs that guarantee more than 6 months of continuous employment. Number of working hours doesn't matter.

wage; the maximum monthly benefit is KRW 1,200,000 (KRW 40,000 per one-day). The daily minimum wage is KRW 22,320.

2.2.2 *Income and earnings disregards*

If a recipient finds a job or earns income from the job he/she found, such an incident should be notified to employment office. If the income earned divided by the number of allowance days to which the beneficiary is entitled exceeds 60 per cent of the (daily) job-seeking allowance, such excess will be deducted from the (daily) job-seeking allowance the recipient is originally entitled to.

The payment of unemployment benefit is suspended in case the beneficiary gets re-employed and contributes to the Employment Insurance System (EIS). The same applies if the beneficiary works 80 hours or more per month.

2.3 *Tax treatment of benefit*

Unemployment benefits are not taxed, in accordance with Article 12 of the Income Tax Law. Early Re-employment Allowance is not taxable.

2.4 *Benefit duration*

The maximum duration of payment of unemployment benefits ranges between three and eight months, depending on the age of the recipient at the time of job loss and the period of contribution to the EIS. It is shown below in days of benefit:

Age (years)	Periods of contribution to the EIS (days)				
	Under 1 year	1-3 years	3-5 years	5-10 years	Over 10
Under 30	90	90	120	150	180
30-50	90	120	150	180	210
Over 50 and the disabled	90	150	180	210	240

There is a two-week waiting period. (7 days per week, 30 days per month, 365 days per year.)

2.5 *Treatment of particular groups*

2.5.1 *Disabled persons*

Disabled persons, regardless of their age, are entitled to the same number of days of benefits as those over 50 years of age.

3. *Unemployment assistance*

None.

4. *Social assistance*

For the past forty years, the Korean government has provided limited protection mainly for those who are unable to work due to age or disabilities under the previous Livelihood Protection System. However, the Korean financial crisis in 1997 and following structural reforms caused rapid increase in the

number of the poor and unemployed, which required urgent expansion of the social safety net. To face this situation in a fundamental way, the government enacted the National Basic Livelihood Security (NBLS) Act in September 1999, and fully implemented the system in October 2000.

The new system has changed the paradigm of policies to fight against poverty. The system emphasises social responsibility for poverty and has strengthened the right of the people in the low-income bracket to receive public assistance. All the people who live under the poverty line are provided financial benefit regardless of their working ability.

At the same time, the system provides well-organised self-support services so that recipients who are able to work can free themselves from poverty. The government provides self-support programmes for those in the lower-income bracket who are considered and judged to have a degree of ability to work.

4.1 *Conditions for receipt*

Benefits for the NBLS are subject to means test based on the new income scale introduced in 2003. This new scale, named “Combined Income Criteria” (also known as “Evaluated Amount of Income Criteria”), reflects the combination of household income and property value that is converted into a certain amount. In addition, there is another eligibility criteria of “lack of supporters”.

2007 Minimum Cost of Living*

Size of household (persons)	1	2	3	4	5	6
Minimum Cost of Living (thousand KRW)	436	734	973	1206	1405	1610

* The Minister of Health and Welfare declares the level of MCL every year.

Firstly, the Minimum Cost of Living is annually determined by the Central Living Assistance Committee, a committee appointed and led by the Minister of Health and Welfare to set up guidelines for overall social assistance matters. To be eligible for the NBLS benefits, the amount of combined income should be below the minimum cost of living as shown in the above table. Previously, recipients should meet both income and property criteria, while the application of the dual criteria often led to blind spots in protection of the needy. For example, the unemployed who had no income but owned a house (worth KRW 36million or over as of 2002) were excluded from the NBLS benefits. In order to address this problem, the government has adopted unified criteria where property value is converted into a monetary amount and added to the income amount. Specifically, properties are divided into three categories- general, financial, and vehicles-and the conversion rate* is applied to each type of property, from which the total value of property is calculated. Debts are then subtracted and also the value of essential properties considered necessary to maintain everyday life of the recipient. These combined income criteria are designed to enhance rationality and equity in the provision of NBLS benefits.

* Conversion rate is determined by the Ministry of Health and Welfare, considering interest rate, inflation rate, and the growth rate of real estate and housing prices.

Secondly, those who live with person/persons responsible for supporting them (hereafter, “legal supporter”) are not eligible as recipients. More concretely, eligibility is given only to those with neither spouse nor lineal relatives by blood nor brothers/sisters, who are not only liable but also able to support them. Obligation as a “legal supporter” is exempted in some cases such as his/her property value is less than 130 per cent of the total of both his/her and the applicant/recipient’s property value. The assistance

agency, however, can provide assistance benefit in advance for those whose “legal supporters” refuse to support, and afterwards make those “legal supporters” pay the cost.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

Assistance is given in the form of the total of seven benefits such as cost of living, housing, medical care, educational, childbirth, funeral and self-support benefits. The NBLS Act stipulates that the recipient’s total household income should exceed the minimum cost of living (MCL), which is set to guarantee the minimum for healthy and civilized living. If the recipient receives any supports under other programmes as well, they are deducted from the total amount of assistance under the NBLS system. Actually, the total amount of assistance under the NBLS system equals the balance of the minimum cost of living and the recognized income of the household including other supports under different programmes.

**Monthly cash benefit¹ (cost of living and housing cost) levels per household,
under the NBLS in 2007**

Size of household (persons)	1 person	2 persons	3 persons	4 persons	5 persons	6 persons
Monthly benefit (in KRW)	372978	628370	832394	1031467	1202484	1377214

1. In-kind benefits such as medical and educational aid, etc. are also provided separately in case those benefits are needed by the beneficiaries.

4.2.2 *Income and earnings deduction*

Thirty per cent of the income earned by the disabled in the "Job Rehabilitation Programmes", "Self-Support Cooperative", students and all recipients taking part in the Self-support labour program is deducted from the earned income which would otherwise lower the level of the total amount of assistance.

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration*

Benefits continue until he/she loses his/her qualification as a recipient.

4.5 *Treatment of particular groups*

4.5.1 *Allowance for the elderly*

The Korean government provides monetary allowances for the elderly as a means of income support for senior citizens with low income. Under the current system, those eligible for the allowances are people at the age of 65 or above among the recipients of National Basic Livelihood Security System (NBLSS) benefits. Among the eligible people, those at the age of 80 or above receive KRW 50 000, and those aged between 65 and 79 receive KRW 45 000 per month. Similar allowances are paid on a monthly basis to the elderly whose level of income is slightly higher than those above but still inadequate to meet their basic needs. The poor elderly who were born before 1 July 1933 and whose combined income or assets (the combined income or asset of themselves, their spouses and their family or relatives who have a

legal obligation to support them) are less than the threshold amount* can receive KRW 35 000, if they have no spouses, or KRW 30 630 , if they have spouses and the couples meet the criteria at the same time.

**Threshold amount of income : a monthly average of KRW 618000 per person.*

Threshold amount assets: KRW 50750000 for rural households / KRW 54250000 for households in small cities / KRW 66500000 for households in large cities.

Allowance for the elderly in 2007

Beneficiary (thousand persons)	632
Budget (hundred million KRW)	2126

4.5.2 Disability allowance

Disability allowance of KRW 60 000 is paid monthly to those with first and second degree of all kinds of disability, as well as those with third degree of mental disability or autism who also suffer from additional forms of disability. People with less severe disability, third to sixth degree, receive disability allowance of KRW 20,000 per month.

5. Housing benefits

Housing assistance was newly introduced in the NBLSS to support residential stability in consideration of the fact that housing expenditure takes up a considerable part of living expenses, especially in the low-income class. It is provided in cash covering housing rent and the maintenance/repair expenses. In-kind benefits in the form of maintenance/repair services can be provided from 2001, when it is judged to be necessary by the assistance agency.

5.1 Conditions for receipt

The same eligibility with the recipient for social assistance is applied.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Monthly housing benefit levels per household, under the NBLSS in 2007

Size of household (persons)	1 – 2	3 – 4	5 – 6
Housing assistance (thousand KRW)	33	42	55

5.3 Tax treatment of benefit and interaction with other benefits

5.4 Treatment of particular groups

5.4.1 Young persons

5.4.2 Older workers

5.4.3 Others if applicable

6. Family benefits

Undefined.

6.1 Conditions for receipt

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

6.2.2 Income and earnings disregards

6.3 Tax treatment of benefit and interaction with other benefits

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

7. Childcare for pre-school children

At the end of 2006, 1,040,361, or 34.9% of a total of 2,980,232 children subject for caring (0~5 years of age) were using child-care facilities. And 18.2%, or 541,550 children were using kindergartens (April, 2007).

Out-of-pocket childcare fees paid by parents

In 2007, Parents pay different monthly child-care fees for children of different ages (according to government subsidy chart). 361,000 won for less than 1 year old, 317,000 won for 1 year old, 262,000 won for 2 years old, 180,000 won for 3 year old, 162,000 won for 4~5 years olds per month.

Average child-care fees paid by parents are affected by such aspects as the child's age, and type of facilities. Facilities are divided into those supported by the government (state & public, corporations) and not supported by the government (private). The government supports facilities by providing costs for operating the facility such as labor costs. This make child-care fees at government supported facilities cheaper than unsupported facilities. For 5 years old, child-care fees are 162,000 won for government-supported facilities, and 225,000 won for unsupported facilities in Seoul. In December 2006, 28.3% of all children were using government supported child-care facilities.

Child-care fees are not too much a burden for parents working 40 hours a week. Support is provided in different grades according to parents' income level. In order to lessen the burden of child-care fees for parents, the Korean government has maintained a policy of having a maximum level of child-care fees.

The government plans to reflect the results of calculation for standard child-care fees to calculate exact child-care fees, and expand government support to minimize parents' burdens.

Average child-care fees paid by parents reflect the realistic costs for running child-care facilities, and the level of cost to satisfy related laws and standards. Items included in the costs are ①labor cost, ②meals and snacks for the children, ③books and teaching tool, ④management and operations costs.

For tax deduction for child-care fees, there is the 'child-care fee deduction' (item 4, paragraph 1, article 51 of income tax law), and 'education fee deduction for preschool babies, infants, and kindergarten children' (item 4, paragraph 1, article 52 of income tax law).

Deduction for child-care fees fall into the category of additional deduction within personal deduction, and is for female workers (regardless of spouse status) and male workers without spouse. 1,000,000 won won per year can be deducted for each child under 6, who are lineal descendants. Education fee deduction is a special deduction, in which each child using child-care facilities or kindergartens are subject to deduction of up to 2,000,000 won per year.

Child-care fees are taken into consideration when calculating minimum living expenses.

7.2 *Child-care benefits*

The definition of income is the average monthly income of urban worker families. Annual data released by the National Statistical Office is reflected as the standard.

Maximum income level is reflected differently according to the number of family members, and types of support. Based on a family of 4, the differentiated child-care fees for low-income brackets are divided into legal low-income bracket for level 1, 1,440,000 won of recognized income per month for level 2, 1,840,000 won of recognized income per month for level 3, 2,580,000 won of recognized income per month for level 4, 3,690,000 won of recognized income per month for level 5.

For a family of 4, the average monthly income for urban worker families is 3,690,000 won.

Level 1: Legal low-income bracket child.

Level 2: 120% of 2007 minimum living expenses.

* Minimum living expense for 2007 is 1,205,535 won.

* Minimum living expense is surveyed and released by the Ministry of Health and Welfare every year, under the Basic Livelihood Security Act.

Level 3: Family of 4, with an income less than 50% of average monthly income for urban workers at 3,690,000 won.

Level 4: Family of 4, with an income less than 70% of average monthly income for urban workers at 3,690,000 won.

Level 5: Family of 4, with an income less than 100% of average monthly income for urban workers at 3,690,000 won.

Standards for a legal low-income bracket child is:

Recipients and their family members under the Basic Livelihood Security Act.

Children in single parent families that are selected to be protected under the "Single Parent Family Welfare Act".

Children between 3 and 4 that are living in child welfare facilities under the Child Welfare Act.

Children accompanied by women admitted into facilities for female victims of violence (household, sexual), and prostitution victims.

Free child-care fees for 5 year old children are provided to families with less than 3,690,000 won, or 100% of recognized monthly income (family of 4).

Child-care fees for second child and up are provided to families with less than 3,690,000 won, or 100% of recognized monthly income (family of 4).

2. The amount of child-care fee support benefit is calculated based on the child-care fees from child-care facilities, and provided in different grades according to income gaps.

3. Children subject for child-care fee support can only receive the support when they're going to child-care facilities, and not when they're cared for at homes.

Hence the support is only given when the children use designated child-care facilities.

Increase in child-care fees is decided by taking into consideration annual inflation rate, types of child-care facilities, regional conditions and etc.

7.2.1 Conditions for receipt

Cash benefits for child-caring parents are divided into low-income brackets, disabled children, 5 year old children, and 2 children. When a child from a family with less than a certain amount of income uses child-care facilities, child-care fees are supported differently for different income levels. For disabled children, the full amount of child-care fees are supported regardless of the parent's income level, type of disability, or disability level. When there are 2 or more children using child-care facilities, partial child-care support is provided for the second child and up. At the end of 2006, 650,000 children, or 63% from a total of 1,040,000 children using child-care facilities received child-care support.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

☐ Child-care support plan and performance (2006)

Category	Plan	Performance	Remarks
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○ Support for babies and infants' child-care fees	○ 4,38.6 billion won (606,599 persons)	○ 5,21.8 billion won (652,140 persons)
- Child-care fee for low-income brackets	- 2,73.2 billion won (407,250 persons)	- 3,59.1 billion won (424,463 persons)
- Child-care fee for 5 year olds	- 1,28.4 billion won (154,349 persons)	- 1,18.0 billion won (141,815 persons)
- Child-care fee for disabled children	- 27.7 billion won (15,000 persons)	- 22.2 billion won (12,013 persons)
- Child-care fee for more than 2 children	- 9.1 billion won (30,000 persons)	- 22.5 billion won (73,849 persons)

① Graded child-care fee for children between 0~4 years of age

- Period: Started and continued from 1991

- Description: Graded support is provided to 5 different levels after dividing the families with recognized monthly average income of less than 60% of urban workers' average family income.

Level 1 (Basic livelihood benefactors and etc.): Full amount of government support.

Level 2: Full amount of government support

Level 3: 80% of government support

Level 4: 50% of government support

Level 5: 20% of government support

* Level 5: Less than 100% of monthly average income for urban workers' family, supported since 2007

- Support amount: 361,000 won (less than a year old), 317,000 won (1 year old), 262,000 won (2 years old), 180,000 (3 years old), 162,000 (4 years old) per month

② Free child-care fee support for 5 year olds

- Period: Started and continued from 1999

- Description: In principle, provides an opportunity for free child-care for preschool 5 year olds. Start from low-income brackets and expand free support as much as the budget allows (for children in families of less than 100% of monthly average income of urban workers' families).

- Support amount: 162,000 won per month

③ Free child-care support for disabled children

- Period: Started and continued from 2003

- Description: Child-care support provided on confirmation of disabled welfare cards or disabled medical certificate, regardless of family income level.

- Support amount: 361,000 won per month

④ Child-care support for more than 2 children

- Period: Started and continued from 2005

- Description: Child-care support provided from the second child and up of less than 5 years of age when children from a family of less than average monthly income of urban worker families use child-care facilities at the same time.

- Support amount: 181,000 (less than 1 year old), 159,000 (1 year old), 131,000 (2 years old), 90,000 (3 years old), 81,000 (4 years old)

- The biggest reason for differences in child-care fees for different age groups is that the lower the age is the less number of children a single teacher can care for. This is in order to observe the teacher to child ratio per age group and causes difference in child-care fees in different age groups.

* Teacher to child ratio (age 0; 1:3, age 1; 1:5, age 2; 1:7, age 3; 1:15, age 4 ~ 5; 1:20)

Income limits for 0-4 year-olds

	up to 3	4	5	6
Layer 1	beneficiaries of basic livelihood system			
Layer 2	under1.16mil	under1.44mil	under1.68mil	under1.93mil
Layer 3	under1.65mil	under1.84 mil	under1.97 mil	under2.17mil
Layer 4	Under2.31 mil	under2.58mil	under2.69mil	under2.88mil
Layer 5	Under3.34 mil	Under3.69mil	Under3.84mil	Under4.11mil
Income limits for free child-care fee support for 5 year olds				
	Under3.34 mil	Under3.69mil	Under3.84mil	Under4.11mil

7.2.2.2 Income and earnings disregards

- Tax exempted miscellaneous incomes are not taken into consideration when calculating recognized income.

7.2.3 Tax treatment of benefit and interaction with other benefits

- Child-care fee supported by the government is not taxed. Child-care fee paid by parents are given tax deduction of up to 2 million won as educational fees at year end adjustments.

7.2.4 *Treatment of particular groups*

- Recipients under the Basic Livelihood Security Act, children in low income single parent families, children with disabled parents are given priorities in entering government supported child-care facilities.

- Regardless of income level, full amount of government child-care support is provided to recipients under the Basic Livelihood Security Act, children in low income single parent families, all disabled children, and children between 3 and 4 living in child welfare facilities.

8. **Employment-conditional benefits**

In October 2000, Self-support services for the people in the low-income bracket with working abilities are newly introduced in the NBLSS to embody the concept of Productive Welfare. Productive Welfare aims not only to prevent them from falling into deepening poverty, but also to make them support themselves on their own by providing proper self-support programmes.

Self-support programmes aims to enable the recipients with work ability to support themselves by providing proper Self-support jobs according to their desire and ability to work. It takes a step-by-step development strategy to gradually enhance self-supporting desire and ability of the people participating in the program. At the initial stage, rehabilitation programmes or local social activities are provided to encourage the will for self-support. Then, in order to strengthen self-supporting abilities, the recipients take the self-support labour programs such as free nursing service, house repairing business and recycling jobs, etc. Also, the government supports the recipients by providing job training or supports business start-ups by establishing communities to ensure self-support. At the last stage, the recipients can support themselves by participating in the labour market as workers or by starting small businesses.

Currently, there are two employment-conditional benefits. Firstly, under the self-support programme of NBLSS, the recipients can receive 30% of incentives by taking part in various programmes. That is, if the recipients earn 1,000 KRW through the self-support program, 30% of the income is disregarded when calculating their total income. Secondly, American-type Earned Income Tax Credit (EITC) began to be implemented in January 2008. Based on the income of year 2008, the cash incentives will be provided to the working poor in 2009. The EITC will be applied to the household whose yearly income is below 17million KRW and whose asset amount is below 100million KRW and whose number of children is more than one (age: 18 below). Yearly maximum benefits is 1,200,000KRW which is about 12% of yearly national minimum wage of 2009(monthly amount 836,000KRW x 12months).

9. **Lone-parent benefits**

Lone-parents with combined value of income and property below the levels shown in the table are eligible to the benefits below:

- Child raising support subsidy; KRW 20 000 a month and school fees of high schools.
- Low-interest livelihood support loan; maximum KRW 20 million.
- Long-term low rental housing arrangement service.

Minimum property and income thresholds for lone-parent families were revised in 2003. The new thresholds, as in the eligibility for the NBS benefits, reflect the combination of household income and property value that is converted into a certain amount. They vary depending on the number of family members (in million KRW):

Number of family members	2	3	4	5	6
Combined value of income and property	0.87	1.18	1.48	1.69	1.92

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

The standard relieves are taken as deductions from the gross income.

Employment Income Deduction: the following deduction from gross income is allowed for wage and salary income earners:

Salary	Deduction
Up to KRW 5 000 000	Total amount
KRW 5 000 000 to KRW 15 000 000	KRW 5 000 000 plus 50% of the salary over KRW 5 000 000
KRW 15 000 000 to KRW 30 000 000	KRW 10 000 000 plus 15% of the salary over KRW 15 000 000
KRW 30 000 000 to KRW 45 000 000	KRW 12 250 000 plus 10% of the salary over KRW 30 000 000
Over KRW 45 000 000	KRW 13 750 000 plus 5% of the salary over KRW 45 000 000

- *Basic allowance*: a taxpayer can deduct KRW 1 000 000 from his/her income for each person who meets one of following conditions:
 - taxpayer him/herself
 - taxpayer's spouse whose taxable income is under KRW 1 000 000;
 - taxpayer's (including the spouse's) dependents (parents, siblings, children) within the same household whose income after accounting for the employment income deduction is under KRW 1 000 000 and whose ages are as follows:
 1. parents: aged 60 years (female: aged 55 years) or over
 2. brother/sister: aged 60 years (female: aged 55 years) or over, or aged 20 years or under
 3. children: aged 20 years or under (for the purposes of this Report, where there are two wage earners in the household, it is assumed that the principal wage earner will always claim this allowance).
- *Additional allowance*: a taxpayer can deduct KRW 1 000 000 (500 000 in the case of (c)) from his/her gross income when the taxpayer or his/her dependents fall into the following categories (for this report, only cases (c) and (d) would be applicable):
 - a person aged 65 years or over (KRW 1,500,000 in case of 70 years or over)(a)
 - a handicapped person (b)
 - a female wage earner who is the head of a household with dependents(but without spouse) or a female wage earner with spouse (in the case of this report, any female wage earner would be entitled to this allowance)³ (c)

³ This extra allowance was introduced to promote female work-force participation. The presence of this allowance necessitates further specifying the demographic make-up of each family type considered within this report.

- A child aged 6 years or under .

- *Extra allowance for multiple children*

- An income earner with two or more dependent children eligible for basic allowance may deduct from gross income KRW 500,000 if there are (at least) 2 children plus an additional KRW 1,000,000 for every additional child.

Compulsory social security contribution:

- *National pension deduction:* Employees can deduct 100 per cent of their contribution of National Pension
- Medical insurance premium and Unemployment insurance premium deduction: employees can deduct 100% of their contribution to authorities.

Lump-sum tax relief:

- Wage and salary income earners may deduct from gross income the expenses for several items paid during the tax year such as insurance premiums(include Medical insurance premium and Unemployment insurance premium), medical expenses, educational expenses, saving/payments for housing, charities and credit card purchases (all of them up to specific limits). The calculations consider only the lump-sum tax relief.
- Any taxpayer whose total deductible expense for the categories mentioned above is not over KRW 1 000 000 may deduct KRW 1 000 000 from their gross income as a lump-sum tax relief.

10.1.1.2 Standard tax credits

Tax credits: for wage and salary income earners, the following tax credit is allowed as follows:

Calculated tax	Amount of tax credit
Up to KRW 500 000	55% of the calculated tax
Over KRW 500 000	KRW 275 000 plus 30% of the calculated tax over KRW 500 000 (limit: KRW 500 000)

10.1.2 Income tax schedule

Over (in million KRW)	Not more than (in million KRW)	Marginal tax rate (%)
0	10	8
10	40	17
40	80	26
80		35

To that end, for Korea, it is assumed that with the exception of the single parent with two children, the principal wage earner is a male.

10.1.3 State and local income taxes

A uniform rate of 10 per cent is applied. However, the local government can adjust the rate between the lower limit of 5 per cent and upper limit of 15 per cent.

10.2 Treatment of family income

Each individual is taxed on his/her own income.

10.3 Social security contribution schedule

10.3.1 National pension

9.0 per cent of standardised average monthly wage income to a maximum of KRW 1,944,000..

* In case of employees, half of the contribution will be burdened by the employer.

10.3.2 Health Insurance

4.77 per cent of standard income.

* In case of employees, half of the contribution will be burdened by the employer.

10.3.3 Unemployment insurance

0.9 per cent of gross income.

* In case of employees, half of the contribution will be burdened by the employer.

10.3.4 Work injury insurance

insurance premium is a specific rate for each industry set by the Labour Minister x gross income; Coal and Mining Industry is highest (33.0%). The average rate of all industries is 1.95 per cent.

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

11. Part-time work

11.1 Benefit rules for part-time work

11.2 Special tax and social security contribution rules for part-time work

12. Policy developments

12.1 Policy changes introduced in the last year

12.2 Policy changes announced

1. It was decided that the EITC will be implemented in 2008. According to the income of year 2008, the first benefits will be provided to the recipients in 2009 . (refer to the §8).

2. Eligibility for the extra allowance amount has been changed. Previously, an income earner with a small number of dependents (e.g., spouse, child) eligible for basic allowance was eligible for an allowance of up to KRW 1,000,000 depending on the number of dependents. As from 2007, however, an income earner with two or more dependent children eligible for basic allowance is eligible for an extra allowance equivalent to KRW 500,000 if there are 2 children plus an additional KRW 1,000,000 for every additional child (e.g. 2 children: KRW 500,000; 3 children: KRW 1,500,000; 4 children: KRW 2,500,000 etc.).